

Think inside the box.

A better way to borrow
against your portfolio.

Box spread loans, explained.

SWIPE →

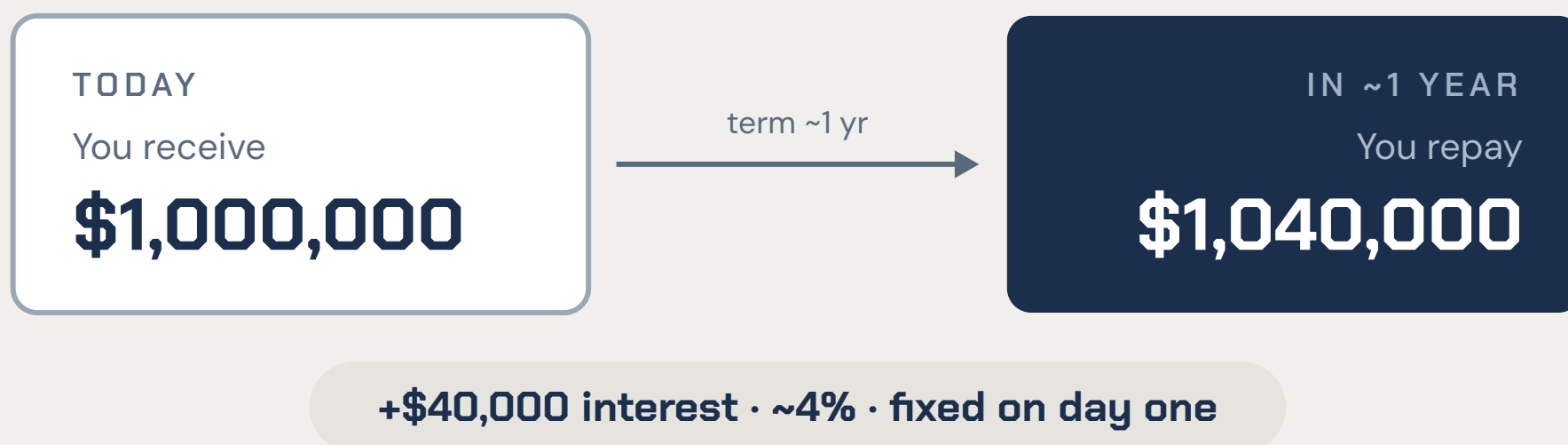
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WHAT IT IS

A box spread is a way to borrow against your portfolio, at ultra-low rates.

It's a loan built from S&P 500 options. Sounds exotic. Behaves like the simplest loan you've ever seen:



No application, no loan officer, no lien on your house. Your portfolio is the collateral. **The repayment is fixed the day you open it.**

Illustrative figures.

THE RATE

The market sets the rate.
Not the bank.

	BOX SPREAD	SBLOC / PAL	MARGIN LOAN
Interest rate	~4%	6.5–8%	8–13%
Rate type	Fixed	Variable	Variable
Who sets it	The market	The bank	The broker
Cost deductible	Yes, §1256 loss	Rarely	Sometimes

Same collateral, same liquidity. **The rate and the tax treatment are not the same.**

Illustrative ranges. Rates are set by the market and by lenders, and change. Deductibility depends on your circumstances.

THE TAX TREATMENT

The interest can be a deductible loss.

BOX SPREAD LOAN

The cost books as a \$1256 loss.

It can offset capital gains, no matter what you spent the money on.

BANK INTEREST

Personal-use interest is rarely deductible.

Buy a car or pay a tax bill with an SBLOC, and the interest is usually just a cost.

Borrow the same dollars. **One version helps at tax time.**

Tax treatment depends on your circumstances. Consult your tax adviser.

WHAT IT'S FOR

Cash without selling.

01 REFINANCE THE SBLOC

Same collateral, lower fixed rate. If you're paying a bank 7%, **the swap pays for itself.**

02 THE BIG PURCHASE

A house, a business buy-in, a tax bill. Cash today, **no gains realized** to get it.

03 STAY INVESTED

Fund life while the portfolio compounds untouched. **The winners keep working.**

Margin-call risk applies; not suitable for everyone. Best fit: \$1M+ portfolios.

THE ECOSYSTEM

It runs even better next to direct indexing.

Direct indexing banks losses while it tracks the market. The box spread's cost lands in the same bucket, **a growing reserve that offsets your gains.**

One portfolio: market returns, a loss bank, and cheap fixed-rate liquidity. **Nothing sold, nothing idle.**

SEE ALSO Our earlier deck: Tax-Aware Investing · Direct Indexing & Box Spreads, pinned on this page.

NEXT STEP

See your rate.

Send your current SBLOC or margin statement.
We'll quote the box spread next to it, the annual
difference, and the tax treatment.

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